

LOW-COST PRODUCTION

To be a truly conservative investment a company—for a majority if not for all of its product lines—must be the lowest-cost producer or about as low a cost producer as any competitor. It must also give promise of continuing to be so in the future. Only in this way will it give its own-ers a broad enough margin between costs and selling price to create two vital conditions. One is sufficient leeway below the break-even point of most competition. When a bad year hits the industry, prices are unlikely to stay for long under this break-even point. As long as they do, losses for much of the higher-cost competition will be so great that some of these competitors will be forced to cease production. This almost automatically increases the profits of the surviving low-cost companies because they benefit from the increased production that comes to them as they take over demand formerly supplied by the closed plants. The low-cost company will benefit even more when the decreased supply from competitors enables it not only to do more business but also to increase prices as excess supplies stop pressing on the market.

The second condition is that the greater than average profit margin should enable a company to earn enough to generate internally a significant part or perhaps all of the funds required for financing growth. This avoids much or even all of the need for raising additional long-term capital that can (a) result in new shares being issued and diluting the value of already outstanding shares and/or (b) create an additional burden of debt, with fixed interest payments and fixed maturities (which must largely be met from future earnings) which greatly increase the risks of the common-stock owners.

However, it should be realized that, just as the degree to which a company is a low-cost producer increases the safety and conservatism of the investment, so in a boom period in a bullish market does it decrease its speculative appeal. The percentage that profits rise in such times will always be far greater for the high-cost, risky, marginal company. Simple arithmetic will explain why. Let us take an imaginary example of two companies of the same size that, when times were normal, were selling widgets at ten cents apiece. Company A has a profit of four cents per widget